

GNIOT Institute of Management Studies – PGDM (Batch 2024-26)**(TRIMESTER – III) END TERM EXAMINATION, MAY -2025****Project Finance and Financial Modeling****[Time: 2 Hours]****[Maximum Marks: 60]****Following are the course outcomes of the subject: -**

CO	Course Outcome (CO)
CO1	Developing a strong ability to analyze financial data, interpret results, and make informed decisions.
CO2	Enhancing problem-solving skills in financial contexts, especially related to project finance, mergers, and feasibility analysis.
CO3	Being able to summarize and present complex financial data and analysis to top management or stakeholders effectively.

(Note- Faculty can add the more CO's as per their subject.)**SECTION-A****Attempt all parts of the following: (Short Answer Type Questions, do not exceed 150- 200 words)**

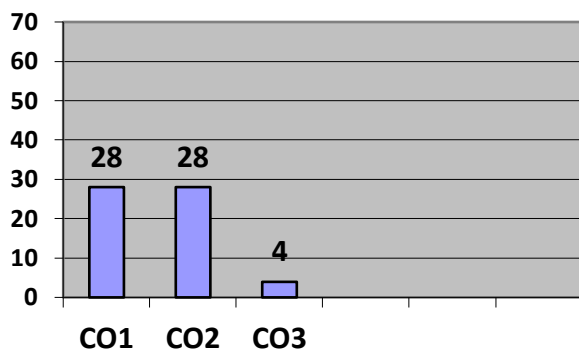
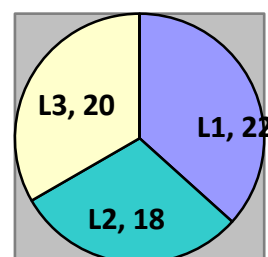
Q.1	Marks	COURSE OUTCOME	BLOOMS LEVEL
(A)	4	CO – 1	BL 1
(B)	4	CO – 1	BL 2
(C)	4	CO – 2	BL 1
(D)	4	CO – 2	BL 2
(E)	4	CO – 3	BL 1

SECTION-B**Attempt ANY TWO questions out of the following: (Long Answer Type Questions, do not exceed 300- 400 words)**

Q. No	Marks	COURSE OUTCOME	BLOOMS LEVEL
2 (A)	10	CO – 1	BL 3
2 (B)	10	CO – 1	BL 3
3 (A)	10	CO – 2	BL 3
3 (B)	10	CO – 2	BL 3

SECTION-C**Attempt all parts of the following: (Caselet / Numerical, do not exceed 300- 400 words)**

Q.4	Marks	COURSE OUTCOME	BLOOMS LEVEL
4 (A)	10	CO – 1	BL 2
4 (B)	10	CO - 2	BL 1

Course Outcome Wise Marks Distribution**Bloom's Level wise Marks Distribution****Bloom's Level wise Marks Distribution**

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GNIOT Institute of Management Studies – PGDM (Batch 2024-26)

(TRIMESTER –III) END TERM EXAMINATION, MAY - 2025

Project Finance and Financial Modeling

[Time: 2 Hours]

[Maximum Marks: 60]

INSTRUCTIONS:

- (i) There are **THREE** sections in this question paper.
- (ii) Attempt questions from each section as per the directions.
- (iii) Make suitable assumptions wherever necessary.

SECTION-A

(Short Answer Type Questions, do not exceed 200 words)

Q.1. Attempt all parts of the following:

(5×4=20)

- a) Define **static** and **dynamic** financial models with examples.
- b) Explain how key financial ratios help evaluate the financial feasibility of a project.
- c) Define risk analysis in project finance. Give two types of risks commonly assessed
- d) Explain the function of a Maintenance Reserve Account (MRA).
- e) Define DSCR and explain its significance in project finance modeling.

SECTION-B

(Long Answer Type Questions)

Q.2. Attempt all questions of the following

(2X10=20)

- a) Interpret balance sheet of ABC Pvt. Ltd. Solve the following questions.

Solve ratios

- PBT margin
- Operating margin
- NBT
- Current ratio
- Debt equity ratio
- Stock turnover ratio
- Price earnings ratio
- Debt service coverage ratio
- ROE
- ROCE

- b) Construct the Balance Sheet and identify changes in Total Debt and Debt-to-Equity Ratio over time. Has the company become more or less leveraged in the forecast period compared to historical years? Discuss the implications for financial health and risk.

Q. 3. (a) Plot the financial statement of Reliance Industries along with its cash flow statement.

Or

- (b) Using financial statement of ABC Pvt. Ltd., Make line chart for PBT, NPBT and operating margin and comment on same.

SECTION-C

Q.4. Attempt all parts of the following:

(2×10=20)

(a) Using given balance sheet and Statement of profit and loss of a company ABC Pvt Ltd. Demonstrate the profit and loss and balance sheet for next 04 years on following assumptions:

1. Sales to increase by 10% sale in 3rd and 4th year and then by 15% in 5th and 20% in 6th year.
2. Purchase to increase by 80% of increase in sales
3. Employee benefit expenses by 5% every year.
4. Fixed tangible assets to increase by 10% in 3rd year and another 10% in 5th and 6th year, Depreciation shall be same rate.
5. Current assets to increase in the ratio of sales
6. Current liabilities in increase in ratio of purchase
7. Using DCF model find value of equity if discounting rate is 10%.

PVF at 10% year 1- 0.909, year 2 – 0.826, year 3 – 0.751, year 4 – 0.683 year 5 – 0.621, year 6 – 0.564

(b) The following are details from a company's Income Statement (in ₹ crore):

Revenue: ₹10,000

Cost of Goods Sold (COGS): ₹6,500

Selling, General & Administrative Expenses (SG&A): ₹2,000

Depreciation: ₹500

- I. Find the Operating Profit and plot the results on excel in form of a model.
- II. Find the Operating Margin and plot the results on excel in form of a model.
- III. Briefly explain what Operating Margin indicates about the business.